

Complete Rulebook — Setups, Candle Filters, Trade Parameters & Pre-Trade Checklist

A professional reference for the intraday ORB method. The decision is made at 9:20 AM, once the first 5-minute candle has closed, and the same rules apply in both directions: follow bullish breakouts in an uptrend and bearish breakdowns in a downtrend.

9:20	30	60	1 : 2
Decision time (AM)	Stop-loss	Target	Risk-reward

1. Strategy Overview

The Opening Range Breakout (ORB) is an intraday method that uses the opening price action to identify a potential breakout (or breakdown). A trade is considered only when the trend, the level, and the quality of the first 5-minute candle all agree.

Setup	Level that must break	Trend requirement	Gap
Method 1	Previous day's resistance (long) / support (short)	Established trend in trade direction	Not mandatory
Method 2	Inner resistance / support inside the previous day's range, with a trendline	Established trend in trade direction	Not mandatory
Gap + 200 DMA	200 DMA	Not mandatory if conditions qualify	Required (up for long, down for short)

Long and short at a glance

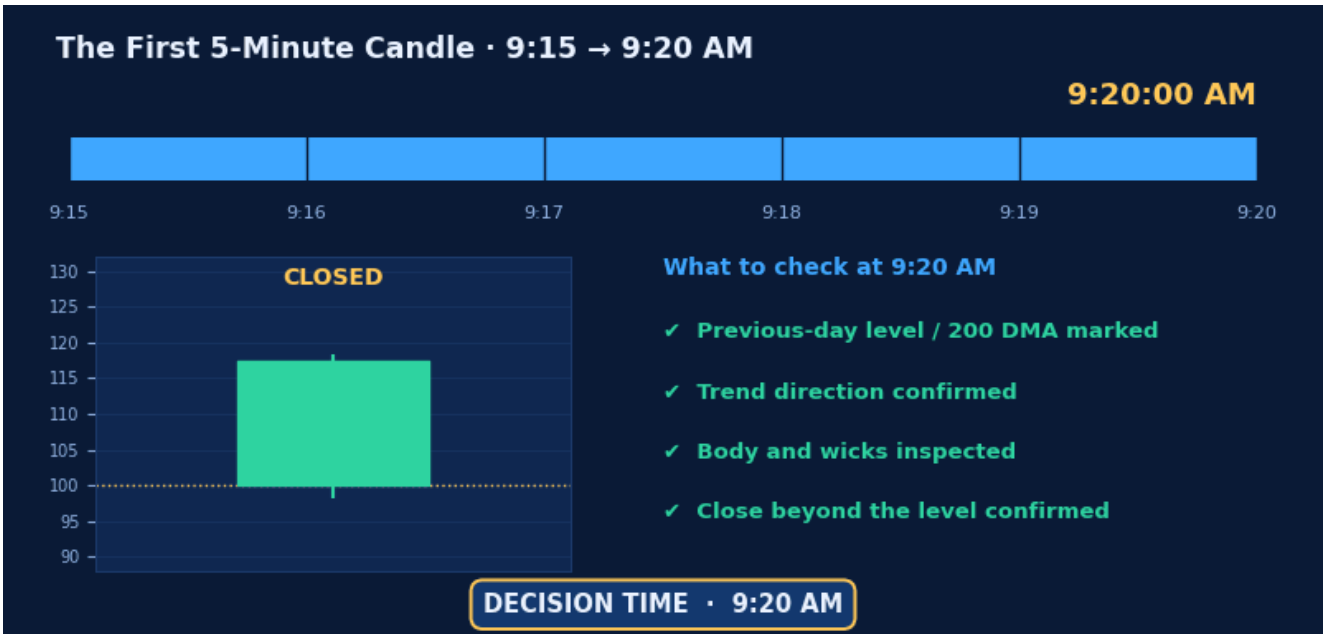
Condition	LONG trade	SHORT trade
Market trend	Established uptrend	Established downtrend
Opening gap	Gap up, where applicable	Gap down, where applicable

Condition	LONG trade	SHORT trade
Breakout	Previous-day or inner resistance breaks upward	Previous-day or inner support breaks downward
Trendline setup	Bullish trendline / inner resistance breakout	Bearish trendline / inner support breakdown
Candle confirmation	Strong bullish candle; limited upper-wick rejection	Strong bearish candle; limited lower-wick rejection
Stop-loss / Target	30 / 60	30 / 60
Risk-reward	1 : 2	1 : 2

> **Core principle**
> The ORB strategy is about identifying a **confirmed** breakout at the open — not buying or selling simply because price is moving. The correct level, the first candle's closing price, the 200 DMA filter (where applicable) and the absence of strong rejection wicks decide whether a setup qualifies.

2. The First 5-Minute Candle

The Indian market opens at 9:15 AM, so the first 5-minute candle covers 9:15 to 9:20 AM. Its close is not known until 9:20 — evaluate it only after it has completed.



▶ *Animation · The candle forms from 9:15 to 9:20; the checks are run at the close*

At 9:20 AM:

1. Identify the previous day's resistance / support.
2. Check the overall trend and the position of the 200 DMA / EMA on your chart.
3. Evaluate the candle's body, upper wick and lower wick.

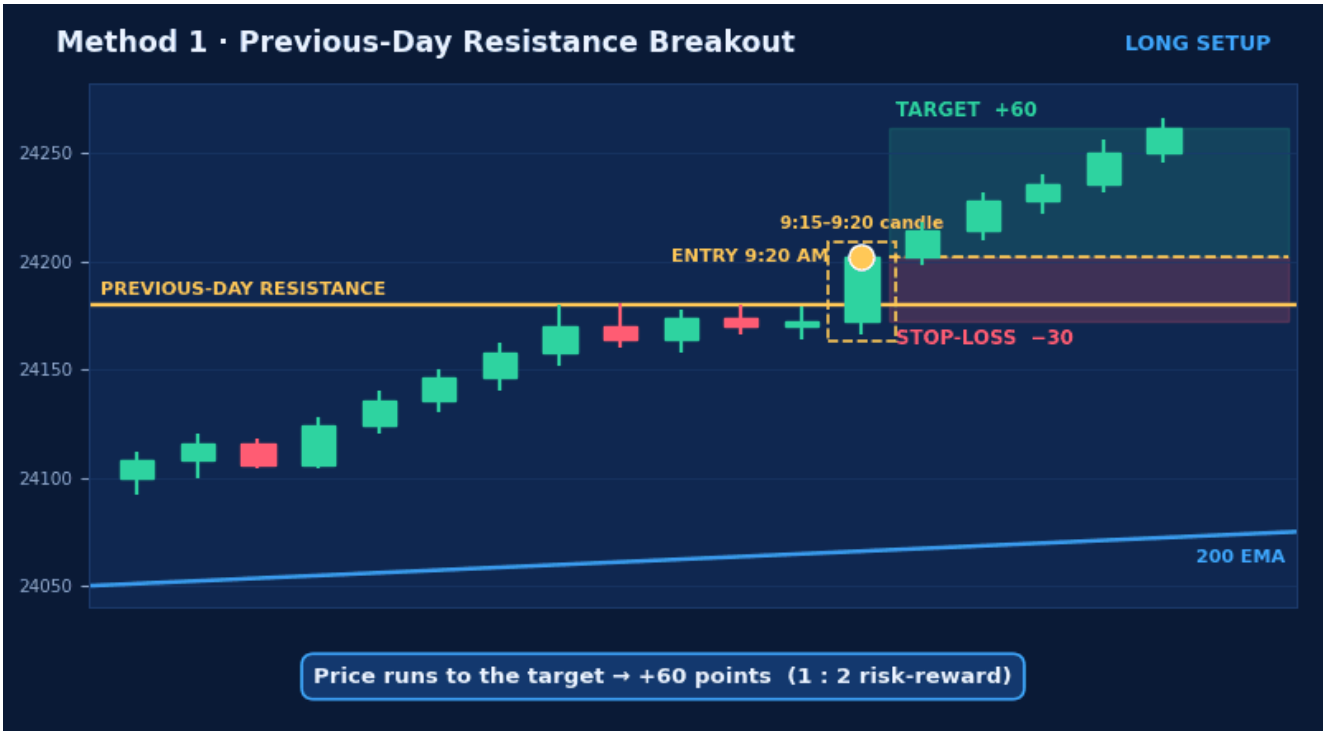
4. Confirm whether price has broken (and closed beyond) the relevant level.
5. If the setup qualifies, take the trade by the rules below.

> **Important**
> The candle's final shape and closing price are unknown before 9:20 AM. Never pre-empt the close.

4. Method 1 — Previous-Day Level Breakout

The primary ORB setup. It is used when the market is already trending and the first 5-minute candle breaks the previous day's key level in the direction of the trend.

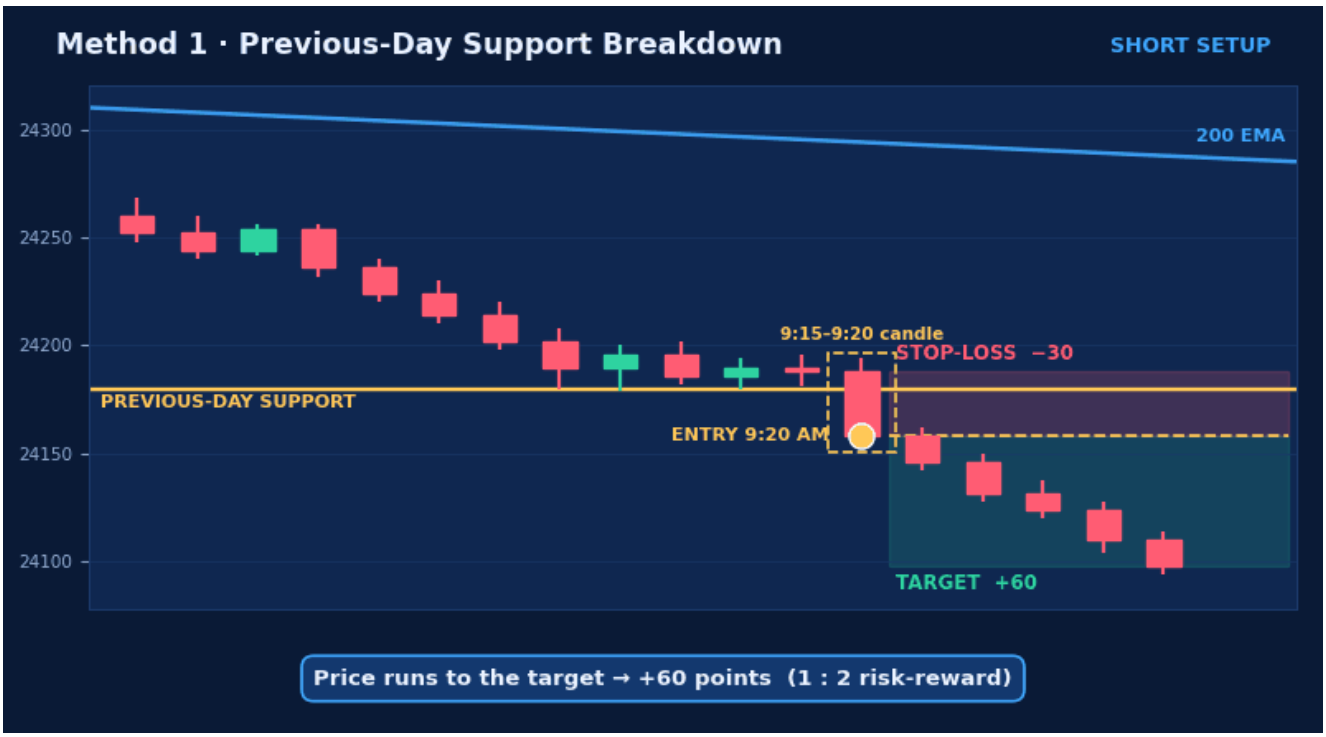
Long: previous-day resistance breakout



▶ *Animation · Uptrend, resistance breakout at 9:20, target hit*

1. **Confirm the uptrend.** Price above the 200 EMA is a basic confirmation, supported by bullish price structure.
2. **Mark previous-day resistance** with a horizontal line.
3. **Check the 9:20 candle.** It must break above and close above the level, with a strong green body and a small upper wick.
4. **Enter long at 9:20 AM** if trend, breakout and candle quality are all satisfied.
5. **Apply fixed parameters:** stop-loss 30, target 60 (1 : 2).

Short: previous-day support breakdown



▶ *Animation · Downtrend, support breakdown at 9:20, target hit*

1. **Confirm the downtrend.** Price below the 200 EMA, supported by bearish price structure.
2. **Mark previous-day support** with a horizontal line.
3. **Check the 9:20 candle.** It must break below and close below the level, with a strong red body and a small lower wick.
4. **Enter short at 9:20 AM** if all conditions are satisfied.
5. **Apply fixed parameters:** stop-loss 30, target 60 (1 : 2).

5. Method 2 — Trendline & Inner Resistance / Support Breakout

Method 2 is used when the market is trending but price has not broken the major previous-day level. That major resistance sits *outside* — at the top of the previous day's range. *Inside* the previous day's range there is usually a smaller resistance (a minor swing high or consolidation top). The break of that inner resistance — in an uptrend, near the rising trendline — is a valid ORB entry at 9:20 AM, even before the major resistance is broken.

	Major level (outside)	Inner level (inside)
Where it sits	Top of the previous day's range (resistance) / bottom (support)	A smaller level within the previous day's range
Used in	Method 1	Method 2
Needs the trendline?	No	Yes — trendline supports the trend
At entry	Broken by the 9:20 candle	Broken by the 9:20 candle; the major level may still be unbroken

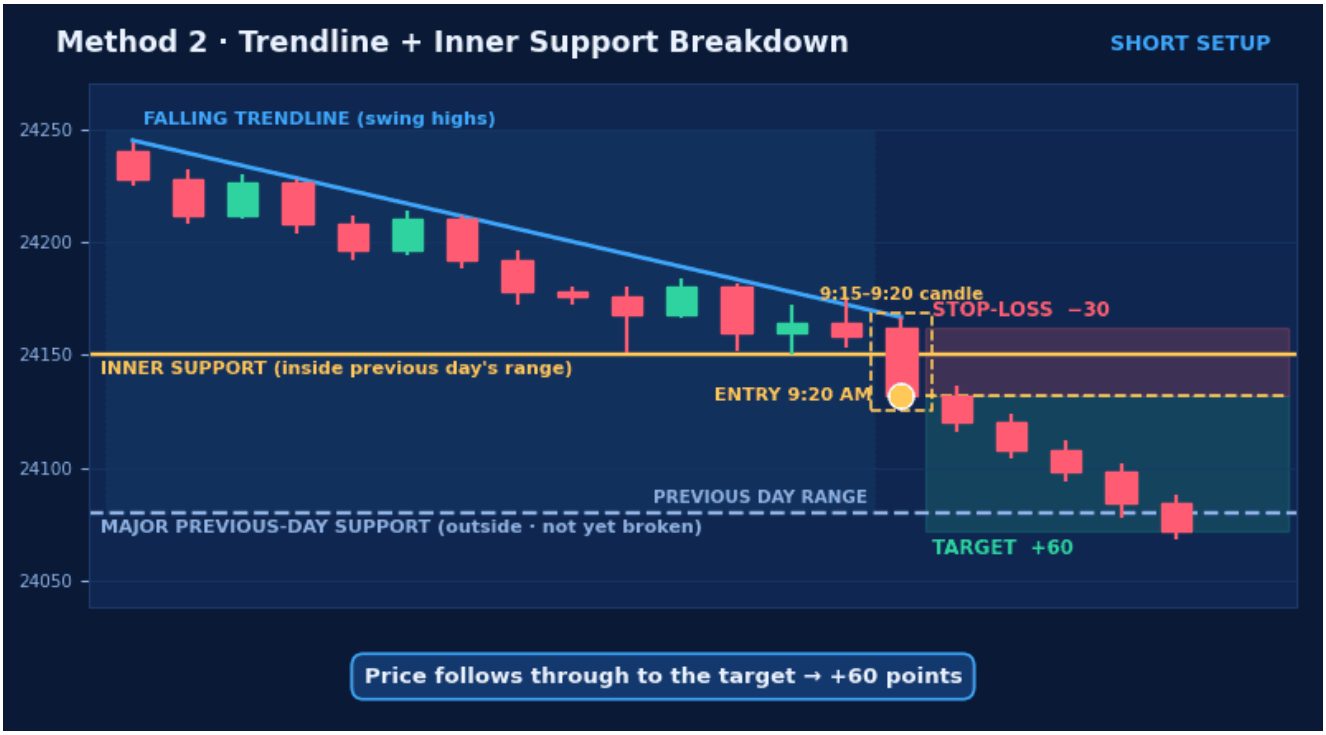
Long: inner resistance breakout



▶ *Animation · Major resistance outside · inner resistance inside the previous day's range · trendline support*

1. **Confirm the uptrend** — price above the 200 EMA with bullish structure.
2. **Draw the rising trendline** through the relevant swing lows.
3. **Mark the major previous-day resistance** (outside) for context.
4. **Mark the inner resistance** — the smaller level inside the previous day's range.
5. **At 9:20 AM**, check that the first candle breaks and closes above the inner resistance.
6. **Check candle strength** — convincing green body, limited upper wick.
7. **Apply the 200 EMA filter** — if the breakout is near the EMA, wait for a convincing close above it.
8. **Enter long** with stop-loss 30 and target 60.

Short: inner support breakdown



▶ *Animation · Major support outside · inner support inside the previous day's range · falling trendline*

Apply the same steps in reverse: a falling trendline through swing highs, a smaller inner support inside the previous day's range, and a first candle that breaks and closes below it with a strong red body and limited lower wick.

Reference chart

In your chart, the purple zone is the major resistance and it is not yet broken when the 9:20 candle closes. Just above the rising trendline, price had built a small inner resistance. The opening candle breaks above that inner

level while the market is in an uptrend and close to the trendline, so the long is taken at 9:20 AM — before the major resistance is broken. The entry sits below the purple zone, with the stop-loss and target boxes shown.



Reference chart (annotated) · inner resistance near the trendline breaks at 9:20; major resistance still unbroken (inner level drawn approximately)

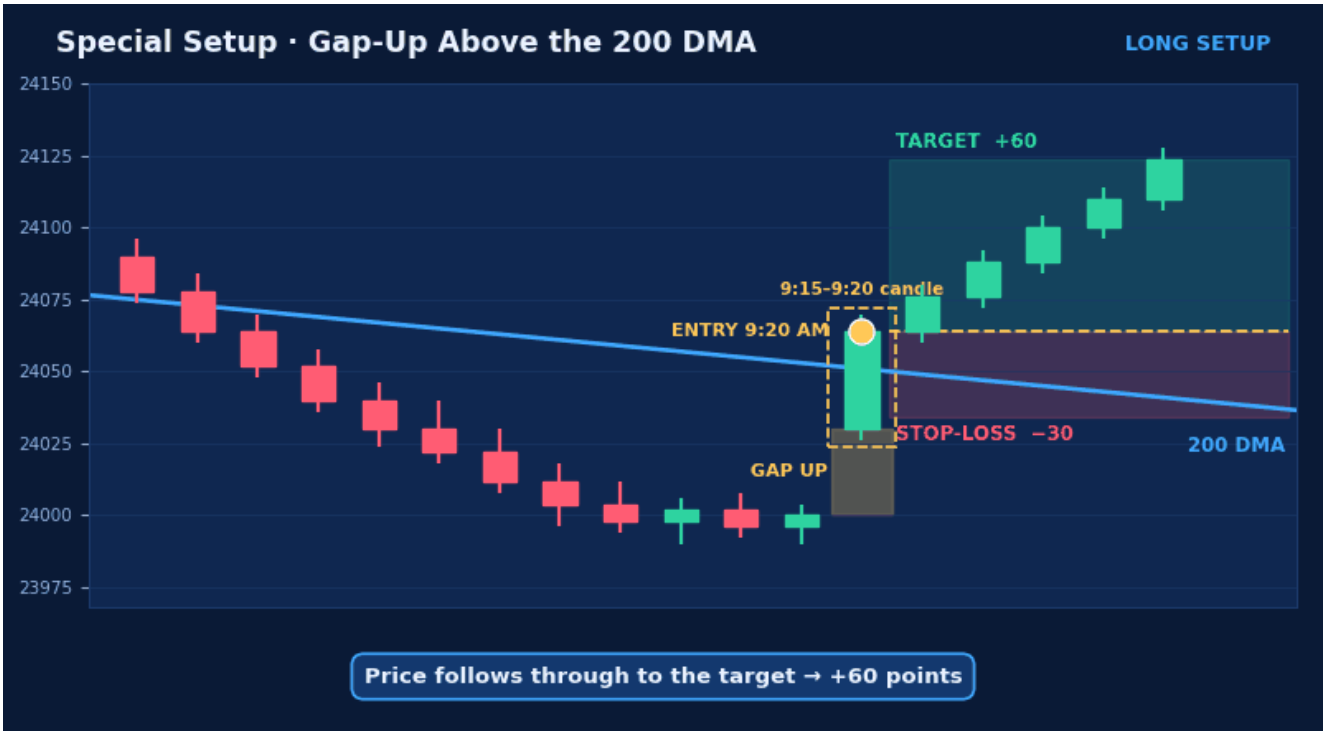
Condition	LONG trade	SHORT trade
Trend	Established uptrend, price above 200 EMA	Established downtrend, price below 200 EMA
Trendline	Connect swing lows (rising)	Connect swing highs (falling)
Level to break	Inner resistance inside the previous day's range	Inner support inside the previous day's range
9:20 candle	Strong green body, strong close above level	Strong red body, strong close below level
200 EMA filter	Near the EMA? Wait for a convincing close above it	Near the EMA? Wait for a convincing close below it
Parameters	SL 30 · Target 60	SL 30 · Target 60

> **Reminder**
> A trendline by itself is **not** an entry signal. The inner-level breakout and the candle confirmation are still required. Verify the exact levels and first-candle close on your original chart.

6. Special Setup — Gap Above / Below the 200 DMA

A separate qualifying setup. Unlike Methods 1 and 2, it can be considered even when the market was previously trending the other way — provided the gap pushes price through the 200 DMA and the first 5-minute candle closes beyond it.

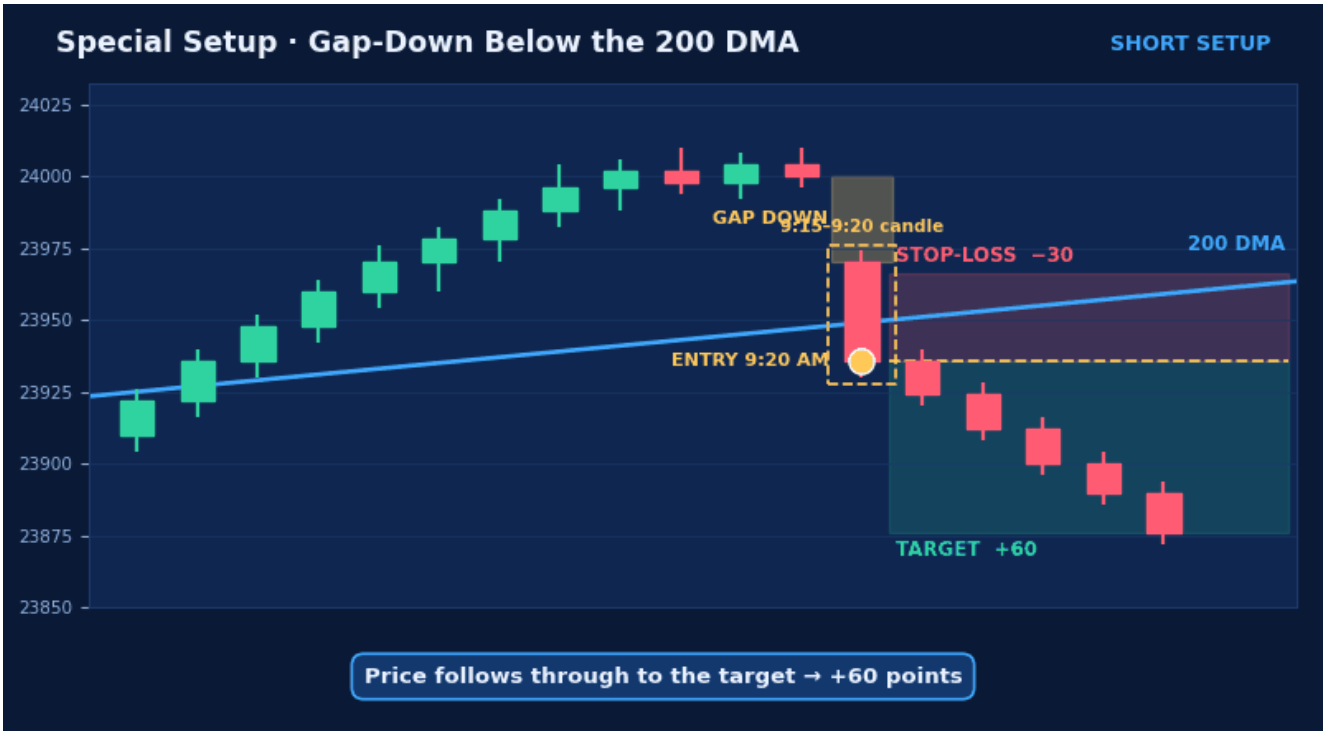
Long: gap up above the 200 DMA



▶ *Animation · Gap up through the 200 DMA; candle closes above it*

1. **Identify the gap up** — the market opens above the previous close.
2. **Check the 200 DMA** — price may have been below it; the gap must bring price above.
3. **Wait for the 9:20 close** — a candle that only crosses the line but closes below it does not qualify.
4. **Confirm candle quality** — a strong green body, or a suitable bullish pin-bar-type candle.
5. **Enter long** with SL 30 and target 60.

Short: gap down below the 200 DMA



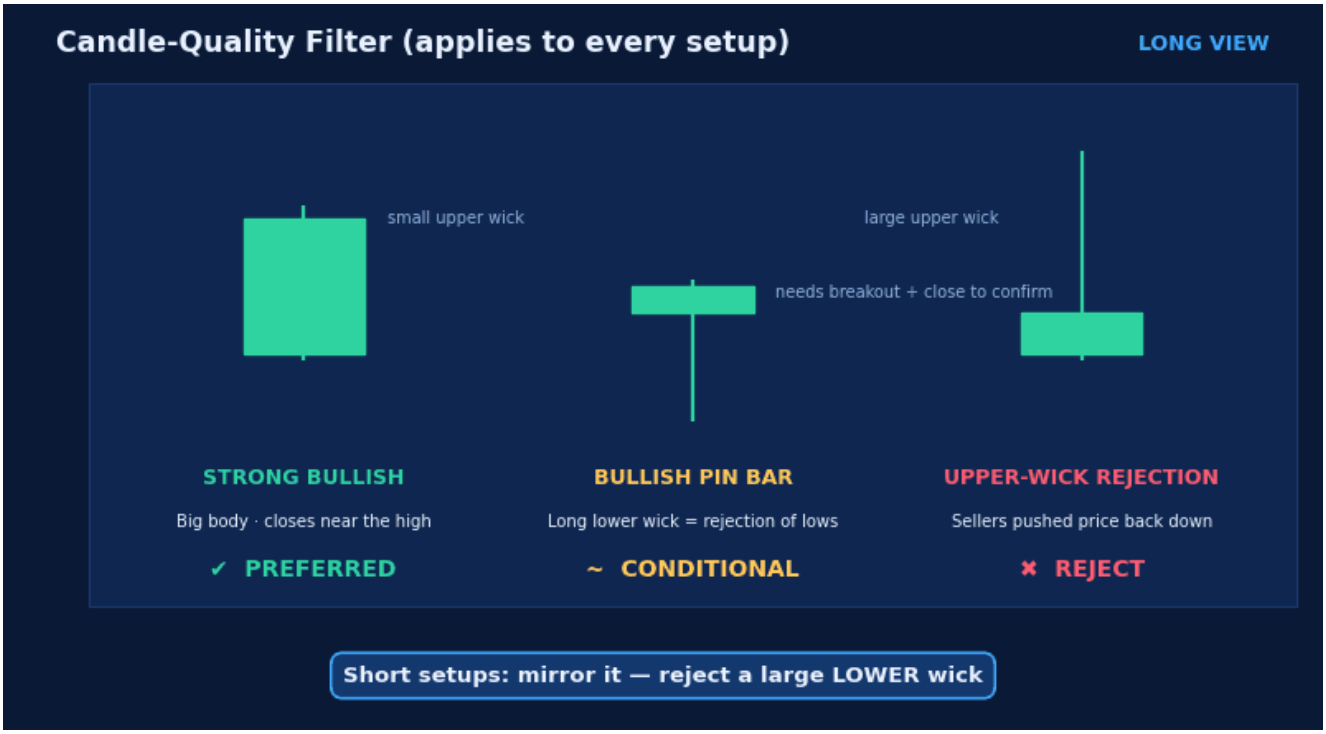
▶ *Animation · Gap down through the 200 DMA; candle closes below it*

Apply the rules in reverse: the market gaps down below the previous close, the gap takes price below the 200 DMA, and the first 5-minute candle closes below it with a strong red body (or a bearish pin-bar-type candle showing rejection of higher prices). Reject candles with a very large lower wick.

> **Not every gap is valid**
> This setup is an exception to the established-trend requirement — it does **not** mean every gap through the 200 DMA qualifies. If the opening move is excessively extended, or the candle shows strong rejection wicks, reject the setup.

7. Candle-Quality Rules

Candle quality is an important filter across all three setups.

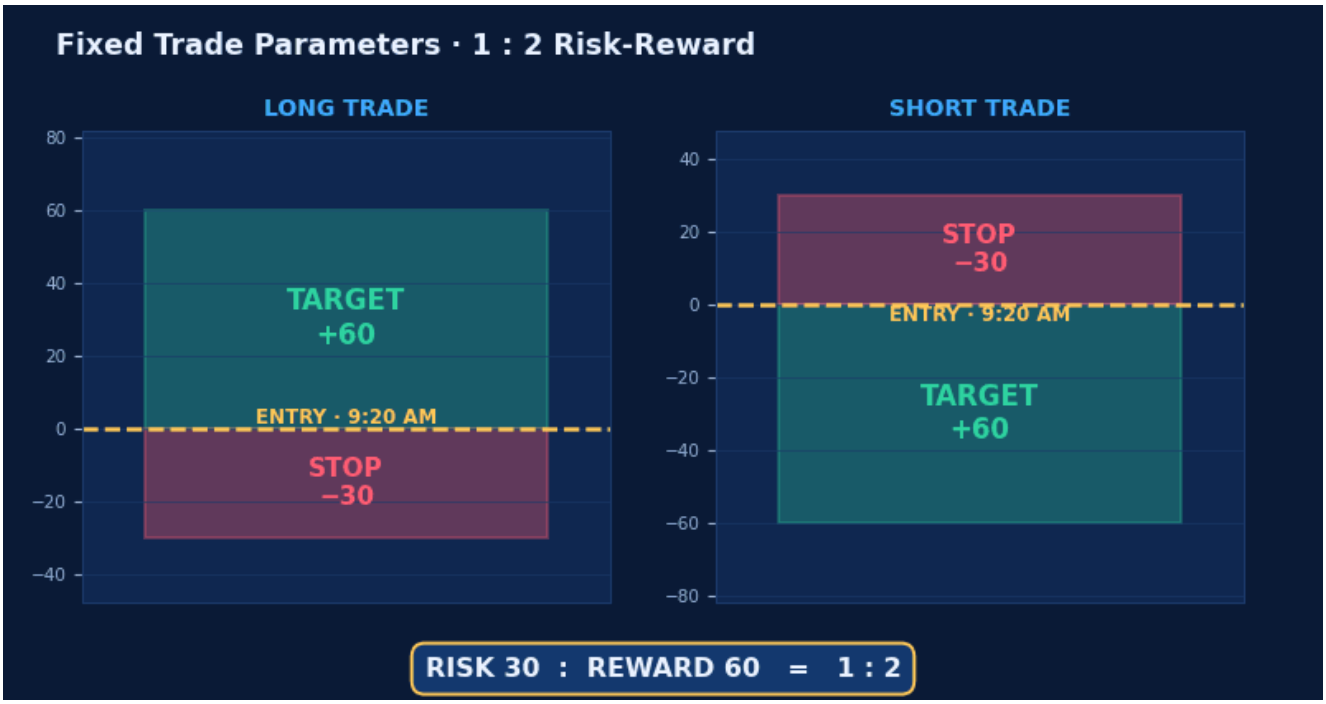


▶ *Animation · Preferred, conditional and rejected candle shapes (long view)*

Condition	LONG trade	SHORT trade
Preferred	Large green body, close near the high, small upper wick, clear break of level / DMA	Large red body, close near the low, small lower wick, clear break of level / DMA
Conditional	Bullish pin bar — rejection of lower prices; its position and close must support the breakout	Bearish pin bar — rejection of higher prices; its position and close must support the breakdown
Reject	Strong upper-wick rejection (price rose, then sellers pushed it back)	Strong lower-wick rejection (price fell, then buyers pushed it back)

A pin bar's shape alone is never sufficient — it must be in the right position and close in a way that supports the breakout.

8. Trade Parameters & Risk-Reward



▶ *Animation · Stop-loss 30, target 60 — the same distances for long and short*

Parameter	Long	Short
Entry	9:20 AM, after the first-candle close	9:20 AM, after the first-candle close
Stop-loss	Entry − 30	Entry + 30
Target	Entry + 60	Entry − 60
Risk-reward	1 : 2	1 : 2

Illustration only: if the “30” and “60” are price units and the position is 50 shares/units, risk is 30 × 50 = ₹1,500 and reward is 60 × 50 = ₹3,000. With a different quantity or lot size, the rupee figures change although the 1 : 2 ratio does not.

> **Standardize your units**
> Decide and write down whether 30 and 60 mean **index points, instrument price units, or rupee P&L**. Price-distance and actual rupee risk are not the same thing. (Your reference chart’s long-position tool, for example, showed target 60.80, stop 30.90 and risk-reward 1.97 — about 1 : 2.)

9. Consolidated Rule Matrix

Rule	Method 1	Method 2	Gap / 200 DMA
Entry decision	9:20 AM	9:20 AM	9:20 AM

Rule	Method 1	Method 2	Gap / 200 DMA
Established trend	Required	Required	Not mandatory if conditions qualify
Long breakout level	Previous-day resistance	Inner resistance (inside previous day's range)	200 DMA (gap up)
Short breakout level	Previous-day support	Inner support (inside previous day's range)	200 DMA (gap down)
Gap	Not mandatory	Not mandatory	Required
First-candle confirmation	Strong close beyond level	Strong close beyond inner level	Close beyond 200 DMA
Wick rule	Avoid rejection wick against the trade	Avoid rejection wick against the trade	Avoid rejection wick against the trade
Stop-loss / Target	30 / 60	30 / 60	30 60

10.REF IMAGES



